7. A Fair, Not Welfare, Society

We believed in socialism, in fair shares for all. Later we learned that personal motivation and personal rewards were essential for a productive economy. However, because people are unequal in their abilities, if performance and rewards are determined by the marketplace, there will be a few big winners, many medium winners, and a considerable number of losers. That would make for social tensions because a society's sense of fairness is offended.

A competitive, winner-takes-all society, like colonial Hong Kong in the 1960s, would not be acceptable in Singapore. A colonial government did not have to face elections every five years; the Singapore government did. To even out the extreme results of free-market competition, we had to redistribute the national income through subsidies on things that improved the earning power of citizens, such as education. Housing and public health were also obviously desirable. But finding the correct solutions for personal medical care, pensions, or retirement benefits was not easy. We decided each matter in a pragmatic way, always mindful of possible abuse and waste. If we over-re-distributed by higher taxation, the high performers would cease to strive. Our difficulty was to strike the right balance.

My primary preoccupation was to give every citizen a stake in the country and its future. I wanted a home-owning society. I had seen the contrast between the blocks of low-cost rental apartments, badly misused and poorly maintained, and those of house-proud owners, and was con-

vinced that if every family owned its home, the country would be more stable. After we won the general election in September 1963, while Singapore was in Malaysia, I had the Housing and Development Board (HDB) announce a home ownership scheme. We had set up the HDB in 1960 as a statutory authority to build low-cost housing for workers. The HDB offered buyers housing loans in 1964, at a low interest rate with repayment periods of up to 15 years, but the scheme did not take off. Prospective buyers could not raise the down payment of 20 percent of the selling price.

After independence in 1965, I was troubled by Singapore's completely urban electorate. I had seen how voters in capital cities always tended to vote against the government of the day and was determined that our householders should become home owners, otherwise we would not have political stability. My other important motive was to give all parents whose sons would have to do national service a stake in the Singapore their sons had to defend. If the soldier's family did not own their home, he would soon conclude he would be fighting to protect the properties of the wealthy. I believed this sense of ownership was vital for our new society which had no deep roots in a common historical experience. On this, Keng Swee as defense minister was my strongest supporter. Other ministers thought home ownership desirable but not that vital.

The colonial government had started the Central Provident Fund (CPF) as a simple savings scheme for retirement: 5 percent of wages contributed by the employee with a matching 5 percent by the employer, to be withdrawn at age 55. As a pension scheme it was inadequate. Keng Swee and I decided to expand this compulsory savings scheme into a fund that would enable every worker to own a home. In 1968, after we passed an amendment to the CPF Act to raise the rate of contribution, the HDB launched a revised home ownership scheme. Workers were allowed to use their accumulated CPF savings to pay the 20 percent down payment and service the housing loan for the balance by monthly installments over 20 years.

I had earlier discussed my plan with NTUC leaders. Because they placed their confidence in me, I felt I had to overcome all difficulties to fulfill my promise to the unions that every worker would be given the opportunity to own a home. I therefore gave this scheme my constant

attention, making adjustments from time to time as market conditions affected wages, construction costs, and the price of land. Every year, the National Wages Council recommended an increase in wages based on the previous year's economic growth. Once workers got used to a higher take-home pay, I knew they would resist any increase in their CPF contribution that would reduce their spendable money. So, almost yearly I increased the rate of CPF contributions, but such that there was still a net increase in take-home pay. It was painless for the workers and kept inflation down. This was only made possible by high growth year after year. And because the government fulfilled its promise of fair shares for workers through the ownership of their homes, industrial peace prevailed.

From 1955 to 1968, the CPF contribution had remained unchanged. I raised it in stages from 5 percent to a maximum of 25 percent in 1984, making a total savings rate of 50 percent of wages. This was later reduced to 40 percent. The minister for labor was usually most anxious to have the worker's take-home pay increased and would urge me to put less into the CPF. I regularly overruled him. I was determined to avoid placing the burden of the present generation's welfare costs onto the next generation.

In 1961, a big fire completely destroyed a squatter settlement on 47 acres of land at Bukit Ho Swee, making some 16,000 families homeless. I immediately amended the law to allow the government, after a fire, to acquire the fire site at the price without vacant possession, as if the land still had squatters on it. This meant, at that time, about one-third of its market value with vacant possession. In moving the bill, I argued, "It is heinous in the extreme to allow any profit to be made out of this fire. In fact, if any profit is allowed to be made, then it will only be an inducement, a temptation to arson by those who possess land with squatters on it."

Later, I further amended the law to give the government power to acquire land for public purposes at its value on a date then fixed at 30 November 1973. I saw no reason why private landowners should profit from an increase in land value brought about by economic development and the infrastructure paid for with public funds. As we became more prosperous, we moved the base year to January 1986, January 1992, and then to January 1995, closer to market rates.

The number who wanted to buy new HDB apartments rose rapidly from about 3,000 in 1967 to 70,000 in 1996. More than half of these

buyers in the 1990s already owned HDB homes, but wanted to upgrade to bigger ones. In 1996, we had $725,000 HDB apartments, out of which only 9 percent were rented out; the rest were owner-occupied, ranging in value from $150,000 for the smallest three-room apartments to $450,000 for executive apartments.

From time to time I intervened directly, as in May 1974 when I asked the chief executive officer to improve the quality and vary the apartment designs and landscaping of new towns so that they would not look so uniform. The architectural variations that followed gave distinctiveness and character to the new towns by exploiting unique site features such as undulating terrain and ponds.

In the first decade from 1965, the new housing estates were sited on the fringes of the central area, in Tiong Bahru, Queenstown, Toa Payoh, and MacPherson. After 1975, they were built further afield, in then rural or farming areas. Following my discussions with EDB officers, I asked the HDB to set aside land in these estates for clean industries which could then tap the large pool of young women and housewives whose children were already schooling. This proved successful when Philips built its first factory in 1971 in Toa Payoh. After this, most new towns had clean air-conditioned factories set up by MNCs producing computer peripherals and electronics—Hewlett-Packard, Compaq, Texas Instruments, Apple Computer, Motorola, Seagate, Hitachi, Mitsubishi, Aiwa, and Siemens. They provided over 150,000 jobs for more women than men, most living nearby; this helped to double or triple family incomes.

Compressing 30 years into a few pages makes it all appear simple and straightforward. There were enormous problems, especially in the early stages when we resettled farmers and others from almost rent-free wooden squatter huts with no water, power, or modern sanitation, and therefore no utility bills, into high-rise dwellings with all these amenities but also a monthly bill to pay. It was a wrenching experience for them in personal, social, and economic terms.

Difficult adjustments were inevitable and there were comic, even absurd, results. Several pig farmers could not bear to part with their pigs and reared them in their high-rise apartments. Some were seen coaxing their pigs up the stairs! One family, a couple with 12 children moving from a hut to a new HDB apartment at Old Airport Road, brought a

dozen chickens and ducks to rear in the kitchen. The mother built a wooden gate at the kitchen entrance to stop them from entering the living room. In the evenings, the children would look for earthworms and insects at the grass patches outdoors for feed. They did this for 10 years until they moved into another apartment.

The Malays preferred to be closer to the ground. They planted vegetables around the high-rise as they used to do in their kampongs. For a long while, many Chinese, Malays, and Indians walked up the stairs instead of taking the elevators, not because they wanted the exercise but because they were afraid of elevators. There were people who continued to use kerosene lamps instead of electric bulbs. Others carried on their old business as before, selling cigarettes, sweets, and sundry goods from their front rooms on the ground floor. They all suffered from culture shock.

Success brought new problems. Those waiting for their homes noticed that prices of apartments went up year by year with rising costs of labor and imported materials and appreciating land value. They became impatient and wanted their apartments as soon as possible. There was a limit to what we could do well. We made one of our more grievous mistakes in 1982–1984 by more than doubling the number of apartments we had previously built. I had appointed Teh Cheang Wan minister for national development in 1979. Before that, he had been the CEO of the HDB. He assured me that he could meet the demand for more homes. He did, but the contractors could not cope with the enlarged workload, and poor workmanship caused great unhappiness when defects surfaced a few years later. They had to be put right at considerable cost to the HDB and inconvenience to the owner occupants.

I should have known that it does not pay to yield to popular pressure beyond our capacity to deliver. Yet I was party to a similar mistake in the early 1990s. As property prices rose, everybody wanted to make a profit on the sale of their old home and then upgrade to a new one, the biggest they could afford. Instead of choking off demand by charging a levy to reduce their windfall profits, I agreed that we accommodate the voters by increasing the number of homes built. That aggravated the real estate bubble and made it more painful when the currency crisis struck in 1997. Had we choked off demand earlier, in 1995, we would have been immensely better off.

To prevent older estates from looking like slums, I suggested to the minister for national development in 1989 that it was time to upgrade old housing with public funds to make them approximate the quality of the new. He agreed and sent missions abroad to study how such improvements could be made while the occupants remained in residence. The missions found examples in Germany, France, and Japan. The HDB started with a demonstration phase for older apartments, spending S$58,000 per home to upgrade the estates and build additional space for a utility room, bathroom, or kitchen extension, but charging the owner only S$4,500. The facade and surroundings were refurbished to match the standard of the newer estates and the facilities of private condominiums, with covered linkways, common covered areas for social functions, and landscaping. The value of the upgraded homes rose substantially.

Another intractable problem was health care. I was a student in Britain when the Labour government in 1947 implemented the National Health Service. Their belief that all people were equal and no one should be denied the best of medical services was idealistic but impractical and led to ballooning costs. The British National Health Service was a failure. American-style medical insurance schemes are expensive, with high premiums because of wasteful and extravagant diagnostic tests paid for out of insurance. We had to find our own solution.

The ideal of free medical services collided against the reality of human behavior, certainly in Singapore. My first lesson came from government clinics and hospitals. When doctors prescribed free antibiotics, patients took their tablets or capsules for two days, did not feel better, and threw away the balance. They then consulted private doctors, paid for their antibiotics, completed the course, and recovered. I decided to impose a charge of 50 cents for each attendance at outpatient dispensaries. This fee was gradually increased over the years to keep pace with rising incomes and inflation.

I wrestled with the problem of preventing our health budget from growing out of control. In 1975, I discussed with a few cabinet colleagues my proposal to set aside part of each person's monthly CPF contribution for co-payment of that person's medical bills. Keng Swee, the deputy

prime minister, supported a contribution of 2 percent for hospital charges. He agreed it was better than a generalized health insurance system, because expenses would be charged against an individual; this would prevent abuse.

Toh Chin Chye, then the minister for health, wanted the proposal shelved. He had just returned from China, where he had visited some hospitals in Beijing, and was impressed by the excellent medical services which were free, providing the same treatment for all, from the highest to the lowest in the land. I said I did not believe they had such medical standards for everyone in Beijing, let alone for all in China.

I decided not to make an issue of it. Instead, I asked the permanent secretary of the health ministry, Dr. Andrew Chew Guan Khuan, to work out how much of a person's CPF contribution would have to be set aside to enable that person to meet part of his or her health costs. He reported that it would require between 6 and 8 percent of a person's CPF contribution. From 1977, I made all CPF members set aside 1 percent of their monthly income in a special account that could be used to co-pay medical expenses for themselves and their families. It was gradually increased to 6 percent.

After the 1980 election, I put Goh Chok Tong in charge of the health ministry. He had been elected an MP in 1976 and was equal to the job. I explained my thinking on health services and gave him some research reports and other articles on health care costs to read. He understood what I wanted: good health services, with waste and costs kept in check by requiring co-payments from the user. Subsidies for health care were necessary, but could be extremely wasteful and ruinous for the budget.

When Medisave was implemented in 1984, each CPF "special account" had accumulated a tidy sum. We increased the monthly contributions for the Medisave account to 6 percent of wages, with an upper limit of S$15,000 in 1986. The limit was increased at regular intervals. Savings above this limit were transferred to a member's general CPF account which could be used for home mortgage payments or other investments. To reinforce family solidarity and responsibility, Medisave accounts could be used to pay medical costs for a member's immediate family: grandparents, parents, spouse, and children.

Co-payment by patients did prevent waste. A patient in a government hospital pays fees subsidized at rates up to 80 percent, depending on

the type of ward he or she chooses. As incomes increased, fewer patients chose the lower-cost wards, which had the highest government subsidies, and opted for wards with more comfort but lower subsidies. We considered but rejected a means test to determine which wards patients were entitled to use; it would have been difficult to implement. Instead we encouraged people to upgrade to the ward they could afford by making clear differences in comfort between different types of wards. It was in effect a self-administered means test. Rising incomes resulting in high Medisave savings made people feel wealthy enough to choose the better-fitted wards.

We allowed the use of Medisave for private hospital fees, subject to price limits for various procedures. This competition put pressure on government hospitals to improve their service quality. But we disallowed the use of Medisave for visits to outpatient clinics or private GPs. We believed more people would see a doctor unnecessarily for minor ailments if they could pay from Medisave than if they had to pay from their monthly budget.

In 1990, we added MediShield, an optional insurance against the cost of catastrophic illnesses. Premiums could be paid out of the Medisave account. In 1993, we set up Medifund with money from government revenue to cover those who had exhausted their Medisave and MediShield and had no immediate family to rely on. They could apply for a total waiver of all fees which would then be paid from Medifund. Thus, while no one is deprived of essential medical care, we do not have a massive drain on resources, nor long queues waiting for operations.

A universal problem we had to resolve was retirement benefits or pensions when a worker became too old to work. In Europe and America, the government provided these pensions, paid for by taxpayers. We decided that all workers should accumulate their own savings in the CPF for old age. In 1978, we allowed the CPF to be used as a personal savings fund for investments. Early that year the government had revamped Singapore's bus services. We then formed the Singapore Bus Services (SBS), listed it on the stock exchange, and allowed members to use up to S$5,000 of their CPF to buy SBS shares on its first listing. I wanted it to have the

widest share ownership so that profits would go back to the workers, the regular users of public transport. There would also be less incentive to demand cheaper bus fares and government subsidies for public transport.

After this success, we liberalized the use of the CPF to allow investment in private, commercial, and industrial properties, trustee shares, unit trusts or mutual funds, and gold. If their investments outperformed the CPF interest rate, they could take the surplus out of the CPF. We had safeguards to prevent members from losing all their savings. By 1997, 1.5 million CPF members had invested in stocks and shares, mostly blue chips on the main board of the Stock Exchange of Singapore.

When we floated Singapore Telecom in 1993, we sold a large portion of its shares at half their market value to all adult citizens. We did this to redistribute part of the surpluses the government had accumulated over the years of our steady growth. We wanted our people to hold shares in a major Singapore company and have a tangible stake in the country's success.

To discourage "stagging," the immediate sale for cash gains, which happened when the British privatized British Telecom, we offered shareholders the right to bonus shares after the first, second, fourth, and sixth years, provided they had not sold the original shares. This resulted in 90 percent of the workforce owning Singapore Telecom shares, probably the highest in the world.

After observing how differently people maintained their own apartments as against rented ones, I believed that a deep sense of property was instinctive in a person. During the riots of the 1950s and early 1960s, people would join in the rioting, stone windshields, overturn cars, and burn them. When riots broke out in the mid-1960s, after they owned homes and property, they acted differently. I saw young men carrying their scooters parked on the roads to safety up the stairs of their HDB blocks. I was strengthened in my resolve to give every family solid assets which I was confident they would protect and defend, especially their home. I was not wrong.

We chose to redistribute wealth by asset enhancement, not by subsidies for consumption. Those who are not winners of top prizes in the free market will still get valuable consolation prizes for competing in the marathon of life. Those who want to spend can sell some of their assets. Significantly, few have consumed their assets. Instead they have invested

and increased their assets, spending only the derived income. They want to conserve their capital for a rainy day, and later leave it to their children and grandchildren.

The CPF grew from 420,000 members in 1965, to over 2.8 million members worth S$85 billion in 1998, excluding S$80 billion withdrawn to pay for HDB homes, private properties, and investments in shares. Almost every worker carries his or her own pension fund. At his or her death, the balance of a worker's CPF savings will be paid according to the worker's written wishes without the delays and formality of applying to court.

Watching the ever-increasing costs of the welfare state in Britain and Sweden, we decided to avoid this debilitating system. We noted by the 1970s that when governments undertook primary responsibility for the basic duties of the head of a family, the drive in people weakened. Welfare undermined self-reliance. People did not have to work for their families' well-being. The handout became a way of life. The downward spiral was relentless as motivation and productivity went down. People lost the drive to achieve because they paid too much in taxes. They became dependent on the state for their basic needs.

We thought it best to reinforce the Confucian tradition that a man is responsible for his family—his parents, wife, and children. We used to face frequent criticism and attacks from opposition parties and the Western media, through their correspondents in Singapore, for pursuing such hard-hearted policies and refusing subsidies for consumption. It was difficult to counter the seductiveness of welfare promises by the opposition during elections. In the 1960s and 1970s, the failure of the European welfare state was not yet self-evident. It took two generations for the harm to work its way through and be seen in lowered performance of individuals, sluggish growth rates, and growing budget deficits. We needed time to build up substantial CPF savings, and have many own their homes. Only then would people not want their individual savings put into a common pool for everyone to have the same welfare "entitlement," own the same kind of home, or enjoy the same level of comfort in hospitals. I was certain they would prefer to make that additional effort to

pay for the extras they sought, either in the size and quality of their homes or in the level of comfort in hospitals. It was fortunate that I was able to withstand these criticisms in successive elections until the 1980s, when the failure of the welfare state was acknowledged by the Western media.

The CPF has made for a different society. People who have substantial savings and assets have a different attitude to life. They are more conscious of their strength and take responsibility for themselves and their families. They are not attracted to the "buffet syndrome" where, after paying a health insurance premium, you consume as much in medical investigations and procedures as you or your doctor can think of.

To ensure a member's savings will be enough for his retirement, neither his CPF balance nor his assets bought with CPF money can be levied upon or attached for any debt or claim. Nor is his HDB apartment bought with CPF money available to his creditors. Only the HDB can execute against an owner for mortgage installments unpaid on the home.

The CPF has provided workers with a comprehensive self-financing social security fund equal to any old-age pension system or entitlement program, without shifting the burden to the next generation of workers. It is fairer and sounder to have each generation pay for itself and each person save for his own pension fund.

The CPF and home ownership have ensured political stability, the foundation upon which Singapore grew and developed without interruption for more than 30 years. Singaporeans are unlike their counterparts in Hong Kong, Taipei, Seoul, or Tokyo, who have high wages but pay vast rents for tiny rooms which they will never own. Such an electorate would not have reelected the PAP with solid majorities in successive elections.

To work a social security system like the CPF, an economy needs to have low inflation and interest rates above inflation rates. People must be confident their savings will not melt away through inflation or devaluation against other currencies. In other words, sound fiscal and budget policies are the preconditions for the success of the CPF.

If we had not redistributed the wealth generated by our people competing in a free-market economy, we would have weakened Singaporeans' sense

of solidarity, the feeling that they are one people sharing a common destiny. I can best explain the need for balance between individual competition and group solidarity by using the metaphor of the oriental yin and yang symbol, two fishlike shapes forming a circle. Yin represents the female element; yang, the male. The more yang (male) competitiveness in society, the higher the total performance. If winner takes all, competition will be keen, but group solidarity weak. The more yin (female) solidarity, with rewards evenly redistributed, the greater the group solidarity, but the weaker the total performance because of reduced competition.

In Singapore's Asian society, parents want their children to have a better start in life than they themselves had. Because nearly all Singaporeans are of immigrant stock, their desire for security, especially for their children, is intense. Owning assets, instead of subsisting on welfare, has given people the power and the responsibility to decide what they want to spend their money on.

There will always be the irresponsible or the incapable, some 5 percent of our population. They will run through any asset, whether a house or shares. We try hard to make them as independent as possible and not end up in welfare homes. More important, we try to rescue their children from repeating the feckless ways of their parents. We have arranged help but in such a way that only those who have no other choice will seek it. This is the opposite of attitudes in the West, where liberals actively encourage people to demand their entitlements with no sense of shame, causing an explosion of welfare costs.

Our policies kept people keen to achieve their best. Monetary stability, a balanced budget, and low taxes encouraged ample investments and high productivity. On top of their high CPF compulsory savings of 40 percent of their wages, many have additional voluntary savings in the Post Office Savings Bank, later called POSBank. All these helped the government to pay for infrastructure: roads, bridges, airports, container ports, power stations, reservoirs, and a mass rapid transit system. By avoiding wasteful expenditure, we kept inflation low and did not need to borrow foreign funds. Since the 1960s, we had annual budget surpluses, except for the years 1985 to 1987, when we were in recession. Government expenditure has averaged 20 percent of GDP, compared to an average of 33 percent in the G7 economies. On the other hand, our develop-

ment expenditure has consistently been much higher than that of the G7 countries.

We aimed in most years to raise sufficient revenue to finance both operating and development expenditure, and also to be internationally competitive in our tax structure. In 1984, direct taxes accounted for two-thirds of our total tax revenue. We progressively reduced income tax, both personal and corporate, until direct taxes in 1996 made up about half of total tax revenue, compared to three-quarters in the G7 economies. We moved from taxing income to taxing consumption. The top marginal income tax rate for individuals was reduced from 55 percent in 1965 to 28 percent in 1996. The corporate tax rate of 40 percent was reduced to 26 percent in the same period. Singapore has no capital gains tax. Our GST (goods and services tax, the equivalent of VAT) is 3 percent. Our import tariff is about 0.4 percent.

Initially we had punishing rates of estate duty, based on the British socialist philosophy of soaking the rich. But good tax lawyers and accountants left little for the tax collector. In 1984, we cut estate duty from a maximum of 60 percent to between 5 percent and 10 percent, depending on the value of the estate. We collected more revenue as the wealthy no longer found it worthwhile to avoid estate duty. We have nontax revenue from a wide range of user charges. Our aim is to have partial or total cost recovery for goods and services provided by the state. This checks over-consumption of subsidized public services and reduces distortions in the allocation of resources.

Sustained growth ensures stability, which encourages investments that create wealth. Because we made the difficult decisions early, we have established a virtuous cycle—low expenditure, high savings; low welfare, high investments. We have accumulated assets during the last 30 years of strong growth with a relatively youthful workforce. In the next 20 years, our economic growth will slow down as our population ages. Private savings rates will decline, and health care costs will rise sharply with more old people, just when taxpayers as a percentage of the population will decrease. We can partly meet this problem by taking steps early to ensure the old will have larger Medisave savings; the better answer is to attract educated and skilled immigrants to enlarge our talent pool and increase both GDP and revenue. The government must give increased financial

and administrative support to more community welfare projects, as many as there are social volunteers to drive and supervise them.

All this fine-tuning to rev up the economy would never have been possible had the communists retained their baleful influence. Instead their open-front leaders fumbled and faltered after Singapore became independent in 1965. They removed themselves from the constitutional arena and left the PAP to set the agenda. We seized the opportunity and reshaped the politics of Singapore.